



ESBM 3700 ENTREPRENEURIAL ENVIRONMENTS

LECTURE 4

BUSINESS MODELS



University of Colorado **Boulder**

Our path

Module 1

Entrepreneurial Mindset

Ideas to Opportunities

Business Models

Sources of Funding

Lean Startup

Lean Startup Exercise

Venture Pitching

Module 2

Choosing Your Customer

Choosing Your Technology

Choosing Your Identity

Choosing Your Competition

Quiz

Module 3

Disruption Strategy

Intellectual Property Strategy

Value Chain Strategy

Architectural Strategy

Bonus: Startup Failure

Bonus: Shark Tank

Final Exam



PLATFORM REVOLUTION

Geoffrey G. Parker
Marshall Van Alstyne
Sangeet Choudary

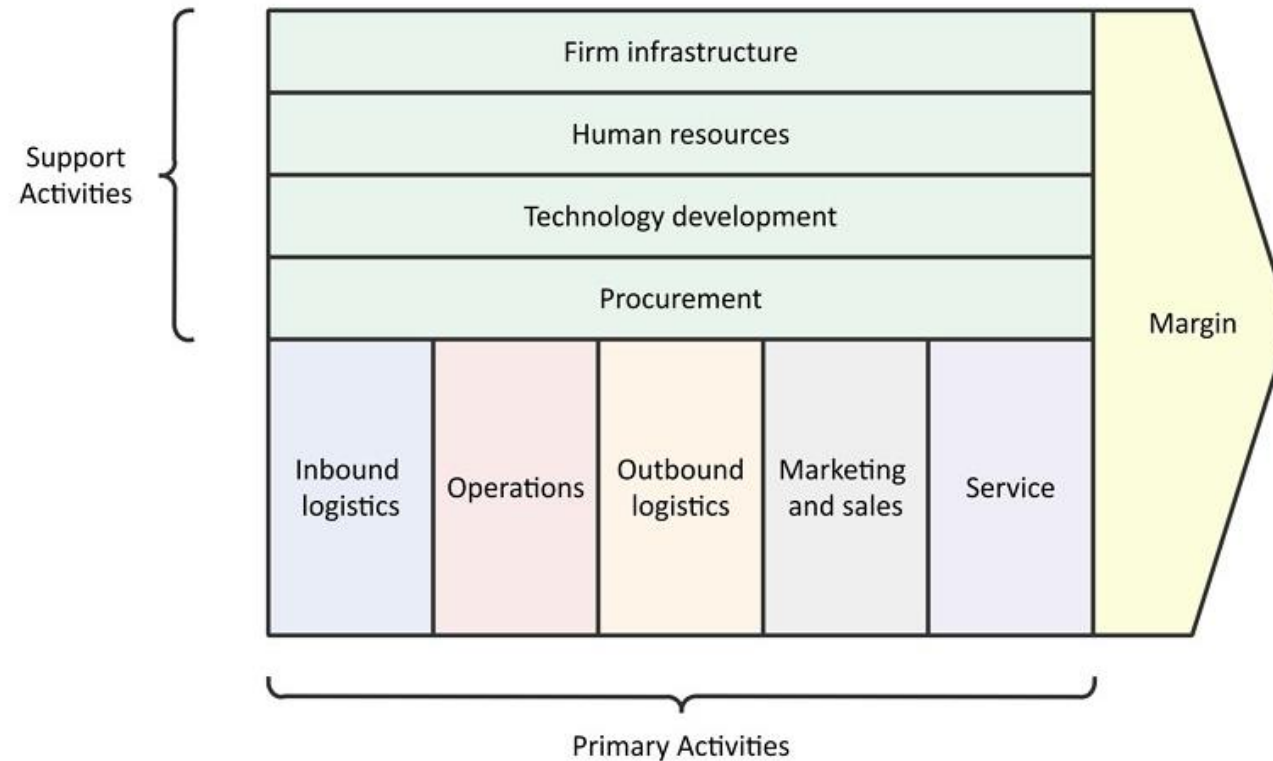
Together with ideas from:
Benjamin Edelman

What are the differences between these two businesses?



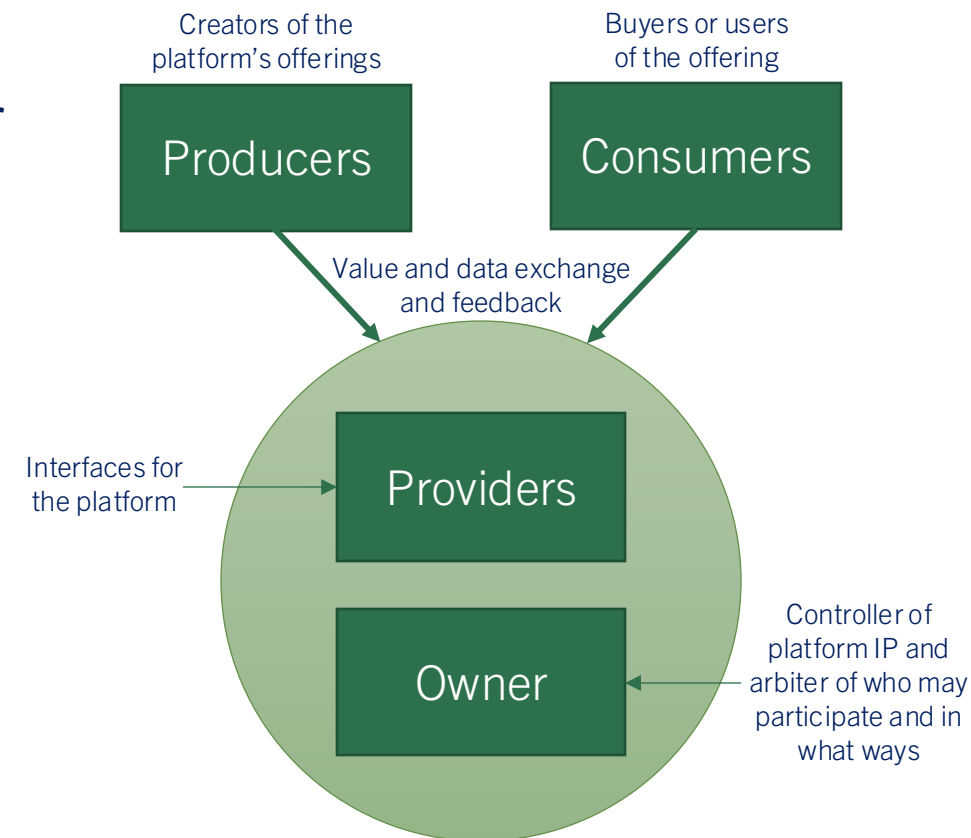
Pipeline businesses

- Pipeline value creation happens through managing a linear set of activities.



Platform businesses

- “Platform businesses bring together producers and consumers in high-value exchanges.” (Van Alstyne, Parker, and Choudary, 2016)
- Based on the type of users, platforms can be one-sided or multi-sided.
- In general, they consist of four types of players:
 - **Owners:** control their IP and governance,
 - **Providers:** serve as the platform’s interface with users,
 - **Producers:** create their offerings, and
 - **Consumers:** use those offerings.



Some differences between pipelines and platforms

- Platforms scale more efficiently than pipelines by eliminating gatekeepers.
- Platforms unlock new sources of value creation and supply.
- Platforms benefit from community feedback.

Some differences between managing pipelines and platforms

Pipeline

Resource Control

Competitive advantage lies in intangible assets.

Internal Optimization

Value creation happens through optimizing the entire chain of product activities.

Focus on Customer Value

Seeks to maximize the lifetime value of individual customers of products at the end of a linear process.

Platform

Resource Orchestration

The network of producers and consumers is the chief asset.

External Interaction

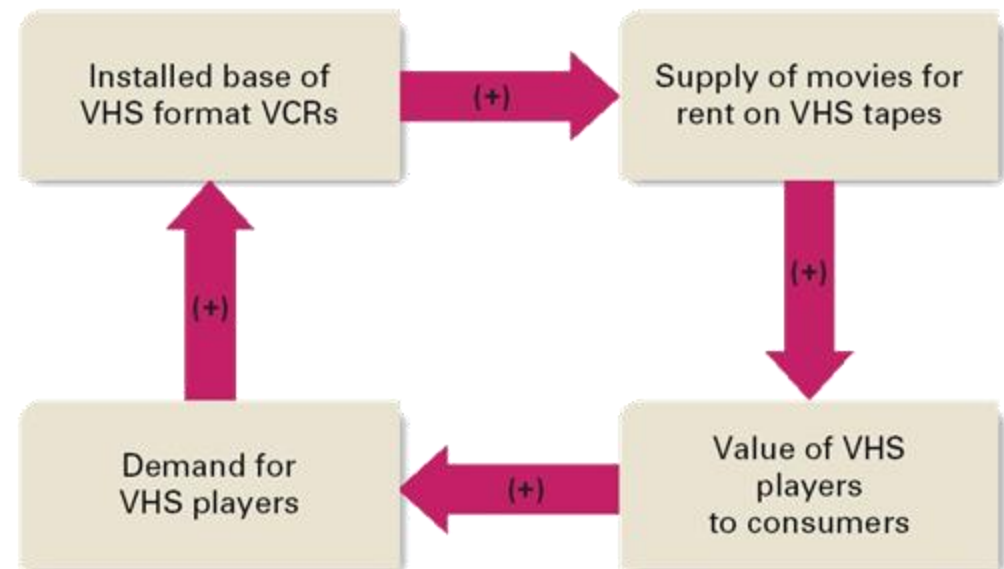
Value creation happens by facilitating interactions between external producers and consumers.

Focus on Ecosystem Value

Seeks to maximize the total value of an expanding ecosystem in a circular, iterative, feedback-driven process.

Network effects – the driving force behind platforms

- The engine of pipeline industries is “supply-side” economies of scale.
- In platform businesses, the economies of scale shift to the “demand side”.
- In this situation, network effects, i.e., *when a product becomes more valuable to all users when another user adopts it*, are key.



How to harness the power of network effects

- A large initial group of users can make all the difference.
 - *Does your company already have a large group of users on another platform?*
 - *Are user data publicly available?*
- Can you start from an industry niche? Can you find or build small social groups?
- Can you offer a “killer” offering (e.g., app, movie, tv-show, game)?
- Can you decrease users’ risks?
 - *Offer “pay-as-you-go” pricing?*
 - *Offer user subsidies?*
- Can you make your platform compatible with older systems?

NOW LET'S TRY
THESE LESSONS
WITH AMAZON AMP.



Some types of revenue models

Revenue Model	Description	Examples
Production Model	You receive the price of the product/service that you offer.	
Subscription Model	You receive payments on a regular basis no matter how much your product is being used.	
Advertising Model	Your product is (usually) free for the users. You earn profits from receiving ads.	
Freemium Model	The core of your offering is free. For some add-on features, you receive payments.	
Markup Model	You receive a (usually) fixed percentage of the cost as payments.	
Licensing Model	You receive payment on the idea, not the final product.	

THANK YOU!